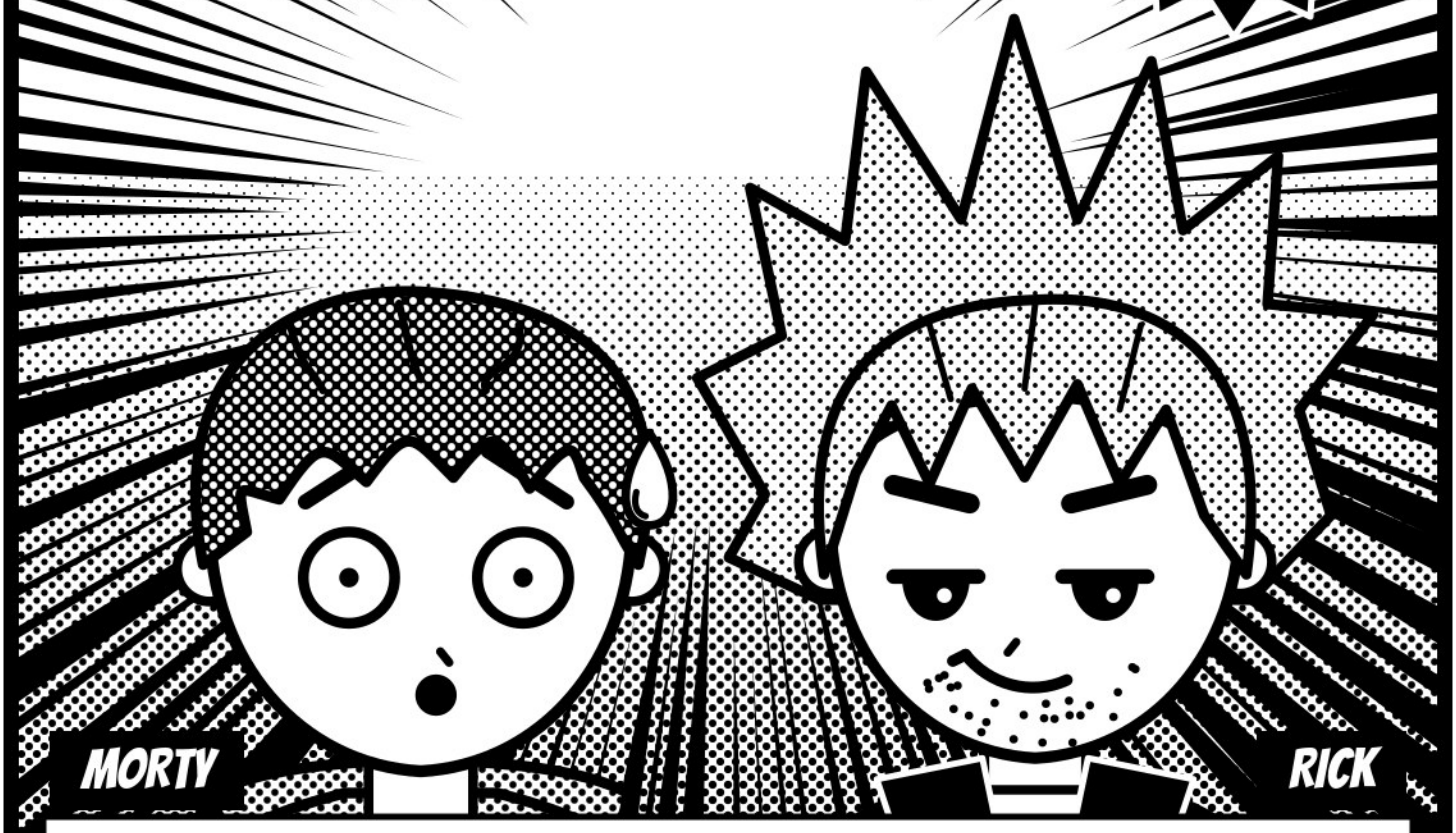
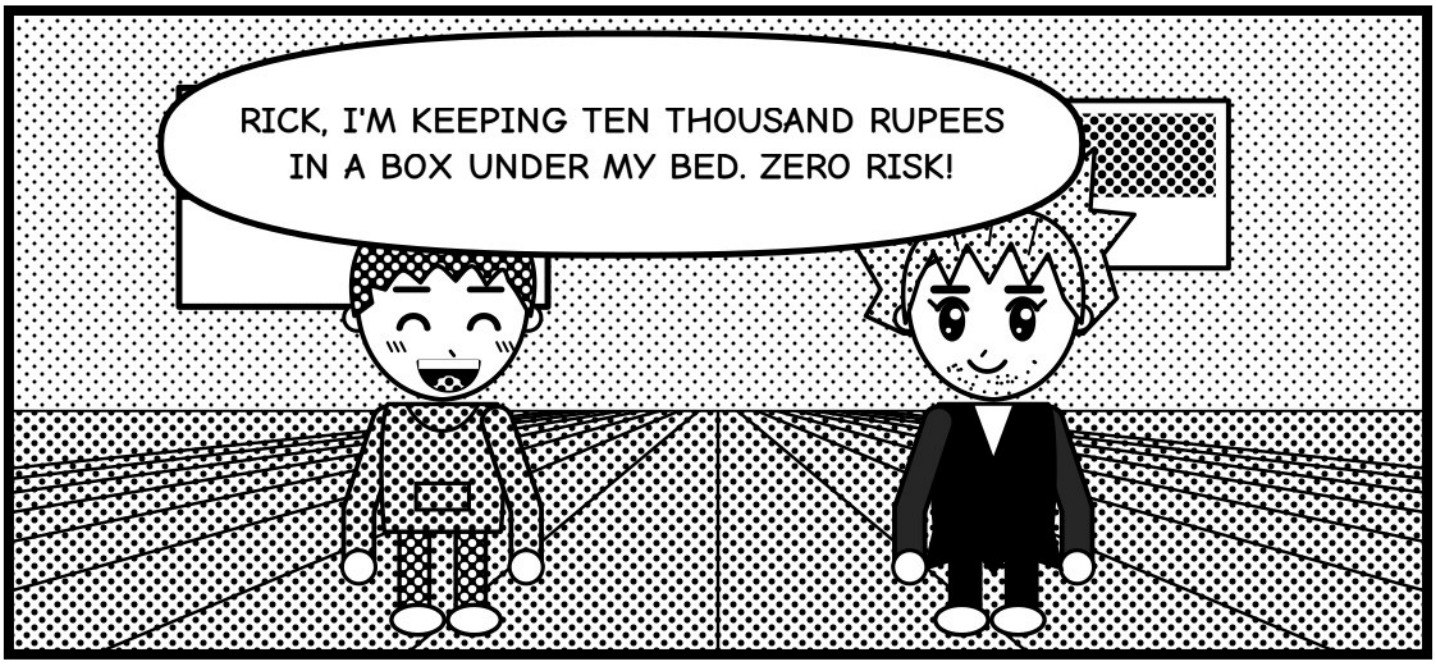
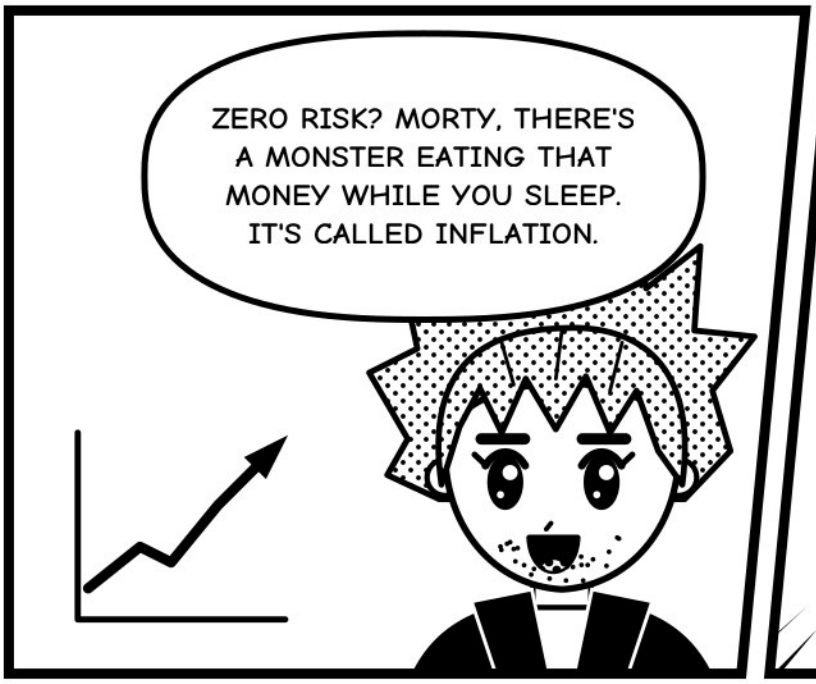
INFLATION: THE SILENT MONEY MONSTER

HARD MODE

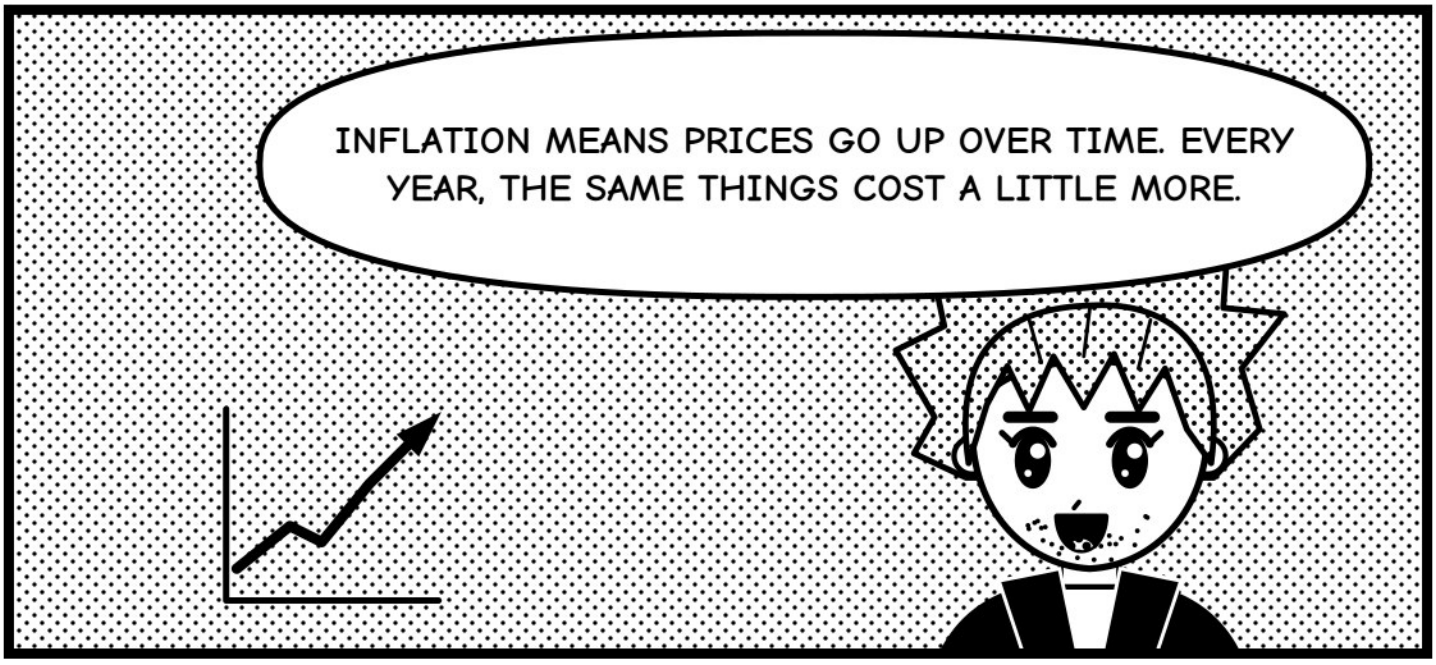


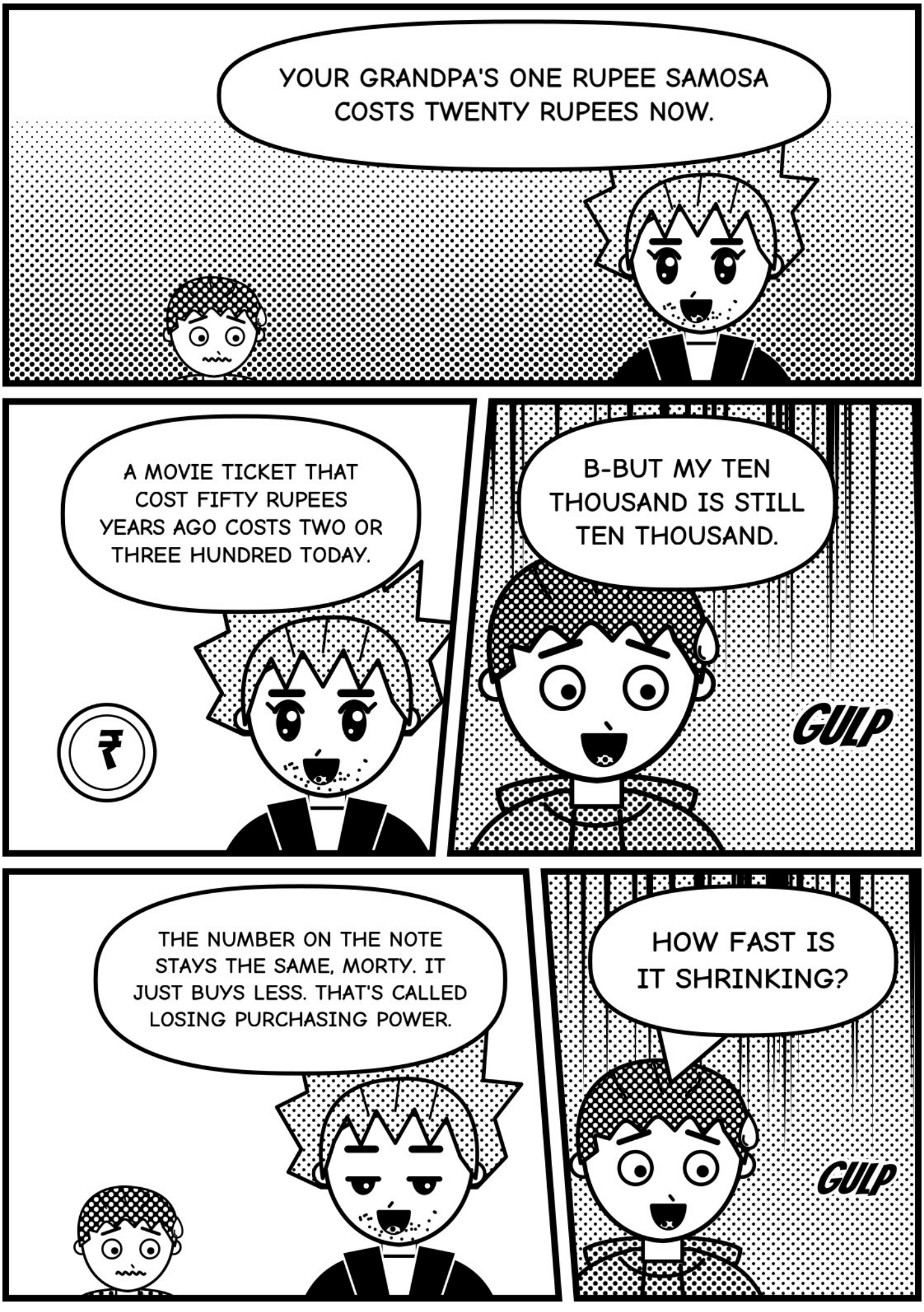
#Inflation #RealReturn #RuleOf72 #PurchasingPower
#MoneyMath #FinancialLiteracy #MoneyBrainrot

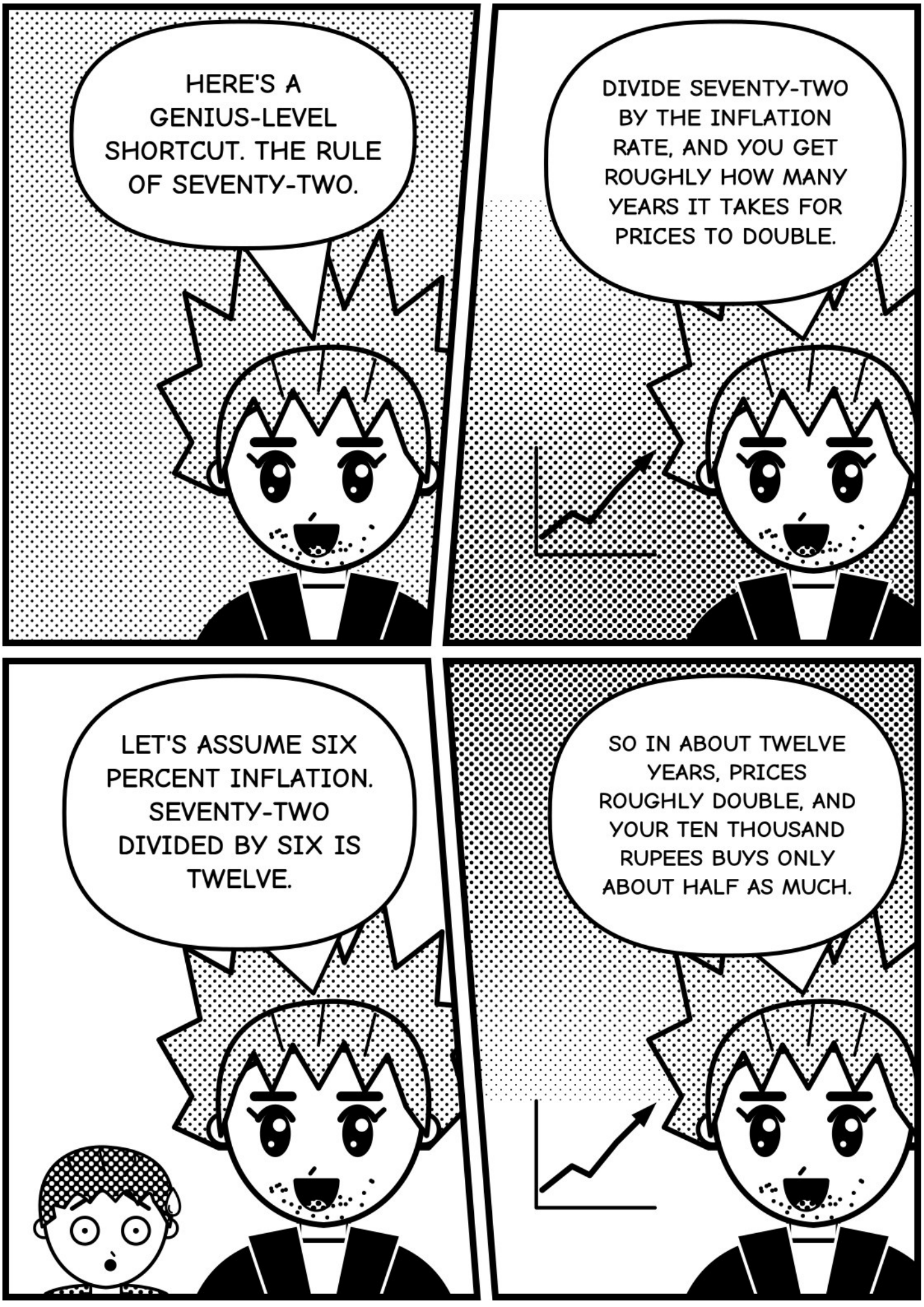

RICK, I'M KEEPING TEN THOUSAND RUPEES IN A BOX UNDER MY BED. ZERO RISK!


ZERO RISK? MORTY, THERE'S A MONSTER EATING THAT MONEY WHILE YOU SLEEP. IT'S CALLED INFLATION.


A MONSTER?!

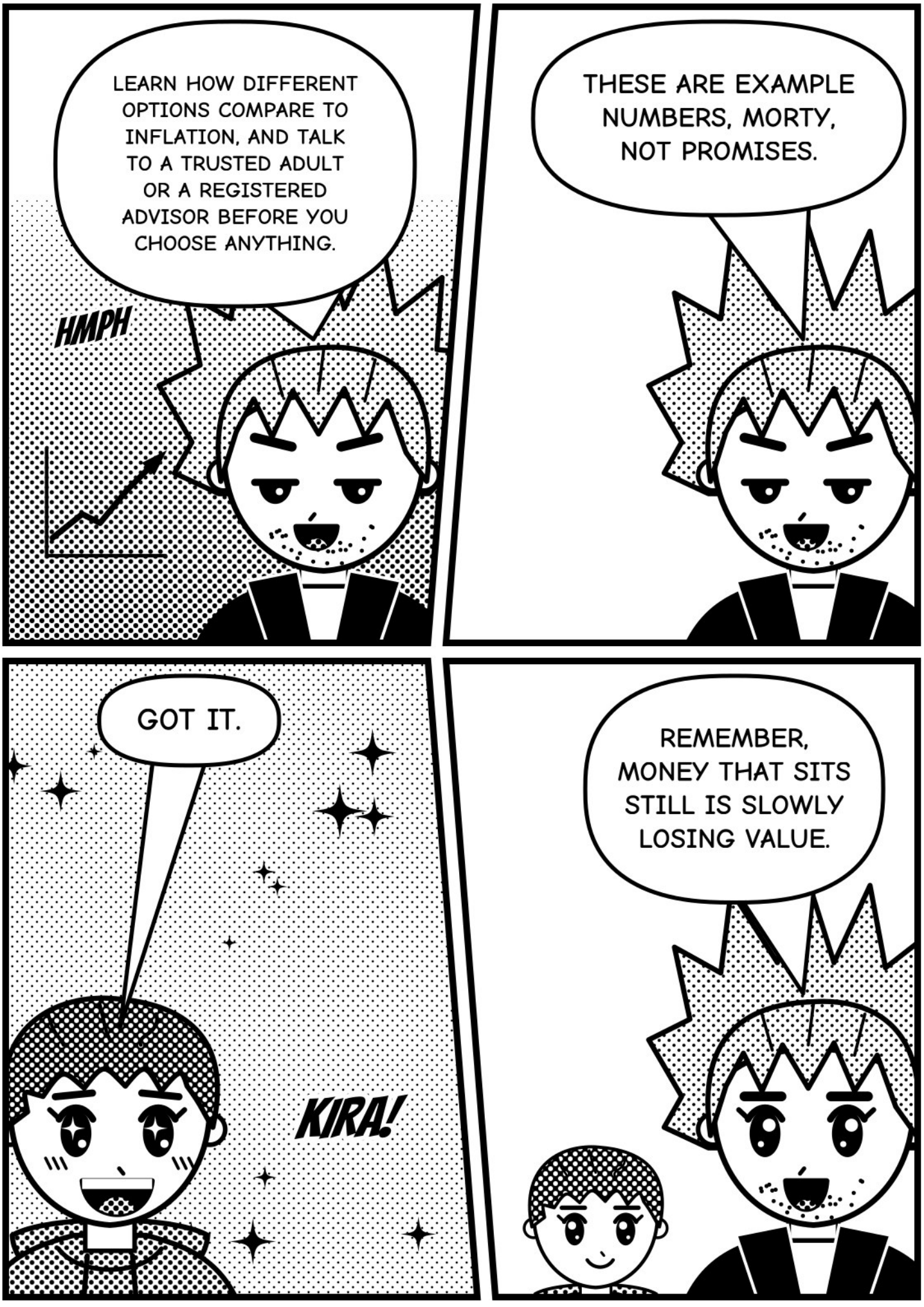

INFLATION MEANS PRICES GO UP OVER TIME. EVERY YEAR, THE SAME THINGS COST A LITTLE MORE.


YOUR GRANDPA'S ONE RUPEE SAMOSA COSTS TWENTY RUPEES NOW.
A MOVIE TICKET THAT COST FIFTY RUPEES YEARS AGO COSTS TWO OR THREE HUNDRED TODAY.
₹
B-BUT MY TEN THOUSAND IS STILL TEN THOUSAND.
GULP
THE NUMBER ON THE NOTE STAYS THE SAME, MORTY. IT JUST BUYS LESS. THAT'S CALLED LOSING PURCHASING POWER.
HOW FAST IS IT SHRINKING?
GULP


HERE'S A GENIUS-LEVEL SHORTCUT. THE RULE OF SEVENTY-TWO.
DIVIDE SEVENTY-TWO BY THE INFLATION RATE, AND YOU GET ROUGHLY HOW MANY YEARS IT TAKES FOR PRICES TO DOUBLE.
LET'S ASSUME SIX PERCENT INFLATION. SEVENTY-TWO DIVIDED BY SIX IS TWELVE.
SO IN ABOUT TWELVE YEARS, PRICES ROUGHLY DOUBLE, AND YOUR TEN THOUSAND RUPEES BUYS ONLY ABOUT HALF AS MUCH.


MY MONEY IS SHRINKING WHILE I SLEEP?!
!?
NOW THINK ABOUT YOUR GOALS.
HMPH
IF A COLLEGE COURSE COSTS ONE LAKH RUPEES TODAY, AT SIX PERCENT INFLATION IT COULD COST AROUND TWO LAKH IN TWELVE YEARS.
SO WHEN YOU PLAN A GOAL, YOU HAVE TO PLAN FOR THE FUTURE PRICE, NOT TODAY'S PRICE.
HMPH


OH GEEZ. OKAY, WHAT'S THE HARD PART?
GULP
REAL RETURN. SAY YOUR MONEY EARNS FOUR PERCENT A YEAR, BUT INFLATION IS SIX PERCENT. FOUR MINUS SIX IS MINUS TWO.
YOUR NUMBER GOES UP, BUT WHAT IT CAN BUY GOES DOWN. YOU'RE GETTING POORER WHILE THINKING YOU'RE WINNING.
SO THE GOAL IS TO BEAT INFLATION?
BINGO. YOUR MONEY NEEDS TO GROW FASTER THAN PRICES RISE.


LEARN HOW DIFFERENT OPTIONS COMPARE TO INFLATION, AND TALK TO A TRUSTED ADULT OR A REGISTERED ADVISOR BEFORE YOU CHOOSE ANYTHING.
HMPH
THESE ARE EXAMPLE NUMBERS, MORTY, NOT PROMISES.
GOT IT.
KIRA!
REMEMBER, MONEY THAT SITS STILL IS SLOWLY LOSING VALUE.



REMEMBER THIS

1. Inflation means prices rise over time, so the same money buys less. That's losing purchasing power.
2. Rule of 72: divide 72 by the inflation rate to get the years for prices to double. 72 / 6 = about 12 years.
3. Real return = growth minus inflation. Earn 4% when inflation is 6%, and you're at minus 2%.
4. Plan goals at future prices, and talk to a trusted adult or registered advisor. Example numbers only.